



Globalization

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WHAT'S COVERED

In this lesson, you will learn about the effects and ethical impact of globalization. Specifically, this lesson will cover:

1. [Effects of Globalization](#)
2. [Ethical Aspects of Globalization](#)
3. [Opposition to Globalization](#)

1. Effects of Globalization



BEFORE YOU START

Recall that we live in an era of economic globalization, where multiple countries can be involved in development and dissemination of even a simple product. While digital technology has made it easier for companies to engage in business with partners overseas, it has also been democratizing in giving access to information media to everyone. Some people have even described a “post-globalization” era with more equitable and sustainable business practices.



As you've learned, business has been an international pursuit for centuries, and in the 21st century those global exchanges and transactions can be instantaneous.

Globalization refers to the process of integrating governments, cultures, and financial markets through international trade into a single world market. Often, the process begins with a single goal, such as market expansion into new territory or creating travel and tourism destinations. But usually there is a snowball effect, and globalization becomes a mixed bag of economic, philanthropic, entrepreneurial, and cultural efforts. Sometimes the efforts have obvious benefits, such as campaigns to bring clean water technology to rural areas that do not have access to safe drinking water. But some are concerned about **cultural colonialism**, or the suppression of a local culture in a developing country by powerful companies from developed nations. For example, while McDonald's changes its menu to accommodate local tastes, it's also hard to deny that local culture also adapts to the McDonald's menu.

In fact, **McDonaldization** is a term coined by sociologist George Ritzer to describe the process by which society adopts the characteristics of a fast-food restaurant, such as efficiency, calculability, predictability, and control. The essential elements of McDonaldization include the use of technology to automate tasks, the standardization of products and services, the specialization of roles, and the rationalization of decision making. These elements are designed to increase efficiency and predictability, but they can also lead to a loss of creativity and regional differences. They can also contribute to loss of employment opportunities and a shift in expectations and actions.

The most obvious example of McDonaldization can be seen in the fast-food industry itself, where restaurants like McDonald's have become a symbol of standardized, predictable, and efficient service. Customers can expect the same menu items, the same quality of food, and the same speed of service regardless of which McDonald's location they visit. Customers, however, are expected to fetch, carry, and clear their own tray,

eliminating a core task of a service worker—eliminating the job function while outsourcing it back onto the consumer. Recently, McDonald's introduced kiosks that allow people to even order and pay for their food without a cashier. The more the consumer does, the less labor is required by the employer. This standardization can also lead to a lack of diversity and creativity, as well as a loss of traditional culinary skills and techniques. When everything looks and tastes the same everywhere, it destroys diversity of choice.



THINK ABOUT IT

In what kind of stores or industries have you witnessed McDonaldization outside of fast food?

Globalized trade is nothing new. Societies in ancient Greece and Rome traded with other societies in Africa, the Middle East, India, and China. Trade expanded further during the Islamic Golden Age and after the rise of the Mongol Empire. The establishment of colonial empires after the voyages of discovery by European countries meant that trade was going on all over the world. In the nineteenth century, the Industrial Revolution led to even more trade of ever-increasing amounts of goods. However, the advance of technology, especially communications, after World War II and the Cold War triggered the explosive acceleration in the process occurring today.

Modern globalization efforts, however, are more complex. Let us look, for example, at the North American Free Trade Agreement (NAFTA). The agreement was among the countries of North America, including Canada, the United States, and Mexico, and allowed much freer trade opportunities without the kind of tariffs (import taxes) and import laws that restrict international trade. Often, trade opportunities are misrepresented by politicians and economists, who sometimes offer them up as a panacea to economic woes. For example, trade can lead to both increases and decreases in job opportunities. This is because while easier, more lax export laws mean there is the potential for job growth in the United States; imports can mean the exact opposite. As the United States imports more goods from outside the country, jobs typically decrease, as more and more products are made overseas.

Many prominent economists believed that when NAFTA was created in 1994, it would lead to major gains in jobs. But by 2010, the evidence showed an opposite impact; the data showed 682,900 U.S. jobs lost across all states (Parks, 2011). While NAFTA did increase the flow of goods and capital across the northern and southern U.S. borders, it also increased unemployment in Mexico. NAFTA was renegotiated in 2018 and was formally replaced by the United States-Mexico-Canada Agreement in 2020.

There are several forces driving globalization, including the global economy and **multinational corporations** (companies operating in several countries) that control assets, sales, production, and employment. Characteristics of multinational corporations include:

- A large share of their capital is collected from a variety of different nations.
- Their business is conducted without regard to national borders.
- They concentrate wealth in the hands of core nations and already wealthy individuals.
- They play a key role in the global economy.

We see the emergence of **global assembly lines**, where products are assembled over the course of several international transactions. For instance, Apple designs its next-generation Mac prototype in the United States. Components are made in various peripheral nations, they are then shipped to another peripheral nation such as

Malaysia for assembly, and tech support is outsourced to India. Companies seek out cheaper labor to keep costs low and profits high. There are ethical arguments about whether these companies do a service providing jobs to developing countries or simply exploit poverty for cheap labor.

Globalization has also led to the development of **global commodity chains**, where internationally integrated economic links connect workers and corporations for the purpose of manufacturing and marketing. For example, in **maquiladoras**, mostly found in northern Mexico, laborers assemble products such as clothing for companies owned in the United States. Unlike other offshore labor, these are essentially “company towns” where the U.S. company can operate free of import or export fees.

Globalization also brings an international division of labor, in which comparatively wealthy workers from core nations compete with the low-wage labor pool of peripheral and semi-peripheral nations. This can lead to a sense of **xenophobia**, which is an illogical fear and even hatred of foreigners and foreign goods. Corporations trying to maximize their profits in the United States are conscious of this risk and attempt to “Americanize” their products, selling shirts printed with U.S. flags that were nevertheless made in another country.



TERMS TO KNOW

Globalization

The process of integrating governments, cultures, and financial markets through international trade into a single world market

Cultural Colonialism

The suppression of a local culture in a developing country by powerful companies from developed nations.

McDonaldization

The influence of Western business practices for efficiency and high profits on the business cultures of other countries.

Global Assembly Lines

When products like cars or computers are assembled in multiple countries.

Global Commodity Chains

When internationally integrated economic links connect workers and corporations for the purpose of manufacturing and marketing.

Maquiladoras

Plants found in northern Mexico where laborers assemble products such as clothing for companies owned in the United States.

Xenophobia

Fear and resentment of foreign cultures.

2. Ethical Aspects of Globalization

There are benefits and drawbacks to globalization. Some of the benefits include the exponentially accelerated progress of development, the creation of international awareness and empowerment, and the potential for increased wealth. However, experience has shown that countries can also be weakened by globalization. Some critics of globalization worry about the growing influence of enormous international financial and industrial corporations that benefit the most from free trade and unrestricted markets. They fear these corporations can use their vast wealth and resources to control governments to act in their interest rather than that of the local population.

One way to assess the impact of globalization is to compare their standards of living in different countries. The statistic most commonly used to do this is the gross domestic product, or GDP, of a country divided by its population. The table below compares the top 11 countries with the bottom 11 out of the 228 countries listed in the *CIA World Factbook*.

Countries With Highest GDP per Capita		
Rank	Country	GDP per Capita
1	Liechtenstein	\$139,100
2	Luxembourg	\$115,700
3	Monaco	\$115,700
4	Singapore	\$106,000
5	Ireland	\$102,500
6	Qatar	\$92,900
7	Isle of Man	\$84,600
8	Bermuda	\$80,300
9	Switzerland	\$71,000
10	Falkland Islands (Islas Malvinas)	\$70,800

Countries With Lowest GDP per Capita		
Rank	Country	GDP per Capita
220	Madagascar	\$1,500
221	Malawi	\$1,500
222	Chad	\$1,400
223	Liberia	\$1,400
224	Mozambique	\$1,200
225	Niger	\$1,200
226	Democratic Republic of the Congo	\$1,100

227	Somalia	\$1,100
228	Central African Republic	\$800
229	Burundi	\$700



These rankings are from 2023. You can see the most recent list here: www.cia.gov/the-world-factbook/field/real-gdp-per-capita/country-comparison



How might globalization improve or worsen the vast difference between developed nations like the U.S. and developing countries?

Indeed, when looking at the countries at the bottom of the list above, we are looking at places where the primary benefactors of mineral exploitation are major corporations and a few key political figures.

Other critics oppose globalization for what they see as negative impacts on the environment and local economies. Rapid industrialization, often a key component of globalization, can lead to widespread economic damage due to the lack of environmental regulation. Further, as there are often no social institutions in place to protect workers in countries where jobs are scarce, some critics state that globalization leads to weak labor movements. Finally, critics are concerned that wealthy countries can force economically weaker nations to open their markets while protecting their own local products from competition. This can be particularly true of agricultural products, which are often one of the main exports of poor and developing countries. According to the United Nations, the least developed countries “lack infrastructure” and have “severe structural impediments to sustainable development. They are highly vulnerable to economic and environmental shocks and have low levels of human assets” (United Nations, n.d.). Shocks could be anything from unfavorable weather conditions to international price volatility. In short, rather than offering them more opportunities, the increased competition and fast pace of a globalized market can make it more challenging than ever for those countries to move forward.

3. Opposition to Globalization

The increasing use of outsourcing of manufacturing and service industry jobs to developing countries has caused higher unemployment in some industries in developed countries. Countries that do not develop new jobs to replace those that move, and train their labor force to do them, will find support for globalization weakening.

This resistance to globalization is evident in recent political movements, the most notable being **Brexit**, the vote by the United Kingdom (UK) in 2019 to withdraw from the European Union (EU). Brexit is a portmanteau of British Exit. The UK had been in the European Union or its predecessor, the European Commonwealth, for almost 50 years. The movement was galvanized by people who felt the UK was losing its national identity, anger about immigration, and a weakening labor force—all effects of globalization. Similar sentiments led to the election of Donald Trump in 2016, whose slogan of “Make America Great Again,” and campaign promise to

“build the wall” to stop the influx of illegal immigration from Mexico and Central America, resonated with people who felt a similar anxiety about loss of national identity. Italy made a similar move in electing Giorgia Meloni as prime minister in 2022; Meloni ran on a hardline nationalist platform. A nationalist platform refers to a group of people or a person who wants to place emphasis on their own country or culture; they tend to believe that a country should be run without outside influences.

While populist movements like these definitely have strains of xenophobia, if not outright racism, they are a response to the effects of globalism, particularly the concentration of wealth into a few hands and increased economic disparity, and the weakening of organized labor.



THINK ABOUT IT

Are these movements against immigration and international economic integration effective in solving the problems that drive people to join these movements?



TERM TO KNOW

Brexit

The movement in the United Kingdom to withdraw from the European Union, as a reactionary movement against globalization.



SUMMARY

In this lesson, you learned about the positive and negative **effects of globalization**, with increased economic growth and cultural exchange but also inequality and exploitation. **Ethical aspects of globalization** include labor standards, environmental impact, and cultural preservation. **Opposition to globalization** in developed countries has arisen from fears of job loss and cultural homogenization. Brexit, a UK decision to leave the European Union, was driven in part by concerns over globalization and immigration. Globalization presents us with many ethical challenges and opportunities to improve our world.

Source: THIS TUTORIAL HAS BEEN ADAPTED FROM OPENSTAX "INTRODUCTION TO SOCIOLOGY". ACCESS FOR FREE AT [OPENSTAX.ORG/BOOKS/INTRODUCTION-SOCIOLOGY-3E/PAGES/1-INTRODUCTION](https://openstax.org/books/introduction-sociology-3e/pages/1-introduction). LICENSE: [CREATIVE COMMONS ATTRIBUTION 4.0 INTERNATIONAL](https://creativecommons.org/licenses/by/4.0/).

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